ANTI-CORRUPTION COMMISSION

COMMISSION MEETING FORM

MEETING NO.	17th Commission Meeting
DATE:	10 Apr. 2018
TIME:	2 pm
VENUE:	Chairperson's Chamber

#	AGENDA	DECISIONS
1.	Gift Rule – Chairperson (Foreign gifts) & others; Training materials; Awards/Prizes – open competition - LD	• Endorsed the recommendations of LD (note attached). • HRS/GAC to sensitize the ACC staff on Gift Rule. • GAC to also initiate categorization of gifts vis a vis awards/prizes, souvenirs, training related stationery etc. to facilitate its disclosure and administration.
2.	Screening Committee (SC) membership	• Decision deferred. • SC to apprise/present to the Commission on its status (how many SC meetings held and the outcomes) within two weeks.
3.	3.1. MACA's proposal to host/co-sponsor a workshop – PPS 3.2. MACC's response on the invitation extended to Chief Commissioner of MACC to visit Bhutan – PPS 3.3. Invitation to visit CIABOC, Sri Lanka from 11-15 or 18-22 June 2018 – PPS	• Not possible in 2018. Express our regret citing country's current situation/developments. • Invitation stands. Can organize a talk event for the MACC Chief during his visit. • CIABOC reciprocal visit deferred to next FY.
4.	Appraisal on submitting project proposal to Siemens - PPS	• Endorsed in principle. Explore project funding modality in consultation with GNHC
5.	Report on the visit to the Central Forensic Science Laboratory (CFSL), Kolkata - DoI	• For immediate need, explore signing MoU with CFSL. PPS in consultation with DoI to process MFA clearance on the proposal to sign MoU. • For long-term, propose for a central laboratory to be established in the country under the Justice sector NKRA in the 12th FYP.
6.	Concerns on sharing case information to media - DoI	• DoI to: - substantiate the concerns with case example/s so that necessary measures could be taken. - propose standard format for publishing on the ACC website.

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		• Commission to issue policy directives on what information to release and at what stages.
7.	Attend IRG of UNCAC from 4-6 June 2018 at Vienna, Austria - LD	• Commissioner Jamtsho to be the focal person. Formal notification to be sent to MFA and UNODC. • Along with the focal person, two other ACC officials to attend the IRG. Nominations to be done by HRC. • For the Working Group on Asset Recovery – OAG, RMA and ACC to participate (Governmental Experts to be nominated) • For the Working Group on International Cooperation – MoHCA and MoFA to participate (Governmental Experts to be nominated)
8.	Any other matter • *Information sharing protocol* • *Review of Commission's decisions on freezing/seizure of properties owned by bonafide third parties*	• Need not be too formal by requiring the ACC and counterpart agencies to sign the protocol. Assurance on not misusing the information by the ACC to be given in the form of a letter (unless required by the counterpart agencies). Focal person to initiate the process (legwork). • LD to do a comprehensive review of the seize/freeze provisions in the ACAB 2011 (and also other laws) in relation to the properties owned by bonafide third parties taking into considerations the ground realities and practicalities of its implementation, damages caused and case laws, etc. LD in consultation thereof with the DoI to provide recommendations to the Commission.

Com. Karma D. Nidup relieved on 12/4/18

13/4/18

Commissioner **Commissioner** **Chairperson**

Review of certain provisions of the Gift Rules 2017 by the Legal Division

Background:

Following the concerns raised during the Management Meeting held on 15th December, 2018 regarding the rigidness in the implementation of Gift Rules, the Legal Division was asked to review certain provisions in the Gift Rules 2017. The Legal Division has reviewed the provisions on:

- Gift(s) received by a public servant from the Foreign Government;
- Gift(s) received by a public servant on behalf of one's agency; and
- Declaration of item(s) received by a public servant from any source through an open competition or as a reward.

1. Gift(s) received by a public servant from Foreign Government:

Discussion:

- Section 16 of the Gift Rules 2017 provides that *"A public servant shall not request or encourage the giving of a gift or accept a gift from Foreign Governments except as permitted by this Rule. However, a public servant may accept a gift given as a souvenir or mark of courtesy from a foreign government which shall be considered as State property"*, and Section 33 (d) says, *"Where the gift is from a foreign government, the gift shall be used for official purposes or be disposed of in accordance with the procedures in force for the disposal of government properties"*.

- If we go strictly by the rule, it is clear from these provisions that the gift(s) received by any public servant from a Foreign Government as a souvenir or mark of courtesy must be considered as a State property (meaning such gift(s) needs to be declared and deposited in the office) and shall be used for official purposes or be disposed of in accordance with the procedures in force for the disposal of government property. There is no room for retention of such gift(s) by the public servant concerned other than to amend the provision of the rule.

- However, the Division deliberated on these two provisions. The main intent of the gift rule is to make the individual public servant declare the gift(s) received as a preventive measures to enhance transparency and accountability in the public service delivery. It would undermine the individuals' willingness to declare the gift(s) received if we go strictly by the letter of the rule. Instead, the permissibility of a gift should be determined in accordance with the criteria set out under Section 18:

  a. *Whether a public servant of the agency solicited the gift or encouraged its solicitation;*

b. *Whether the giver has placed any condition on the agency's acceptance of the gift;*

c. *Whether acceptance of gift is appropriate and advisable from the perspective of conflict of interest; and*

d. *Whether the gift is appropriate for use by the agency.*

- Thus, Division concluded and proposed to recommend that the gift(s) received by any official from the Foreign Government as a souvenir or mark of courtesy, shall be considered as State property but need not necessarily be deposited and handed over to the GDA for stock entry or disposed of as per the rule after declaration, if such gift(s) falls within the permissible threshold limit and also fulfills the acceptable conditions as provided under Section 18 of the Rule.

Proposal:

- Propose the GAC to reconsider its decision of 2nd GAC meeting held on December 13, 2017 pertaining to the gift declaration made by the Hon'ble Chairperson.

- Propose the Hon'ble Chairperson and GAC to have consistent decisions on retention and disposal of gift(s) and subsequently set precedence for other agencies in the near future.

2. Gift(s) received by a public servant on behalf of one's agency:

Discussion:

- Section 15 of the Rule provides that, *"A public servant may accept a gift from or give a gift to any source other than a prohibited source, on behalf of his or her agency. However, the public servant is required to declare and deposit the gift received with his or her agency".*

- However, there were instances where a public servant has received a gift from the host agency in return of his or her delivering in the session representing one's agency.

- To this, the Division upon deliberations concluded that any gift received by a Public Servant while representing his/her agency (as guest speaker, etc.) should be considered as a gift or honorarium received from the host agency to that public servant and not to the agency which he or she represented. Thus, in such a situation, the public servant concerned should be permitted to retain the gift(s) after declaration provided it falls within the permissible threshold limit.

- The Division even referred the Gift Restriction Rules 2009 for its past practice and the then adopted provisions. Sections 28 and 29 of the Rule provided exceptions to

prohibition, that, *"A free attendance given by the sponsor of event on the day of a public servant's presentation when he is assigned to participate as a speaker or panel participant or otherwise to present information on behalf of the agency at a conference or other event"* and *"Commemorative items such as a plaque, trophy, certificate or other similar item intended solely for presentation"*, respectively.

- However, if the gift is provided by an agency to another agency which was received by a public servant, such a gift should be retained in that agency and used for official purpose irrespective of it permissible threshold limit.

Proposal:

- Propose the GAC to reconsider its decision made during the 2nd GAC meeting held on December 13, 2017 pertaining to the gift declared by the Hon'ble Chairperson.

3. Declaration of item(s) received by a public servant from any source through an open competition or as a reward:

Discussion:

- Definition clause under Section 47 (g) of the Rule provides that *"Gift shall include anything of economic value for which no consideration is expected/given in return at any point of time".*

- Thus, from the definition itself, it is clear that a reward or anything which was received by a public servant by virtue of one's effort or achievement or given in recognition of one's service is not to be considered as a gift.

- Likewise, a public servant may also accept any benefit or opportunity, which is also available to other individual as provided under Section 11 (c) of the Rule as an exception to the prohibitions.

- Section 20 of the Gift Restriction Rule 2009 also provided an exception to this rule that, *"Awards and prizes that are given to competitors in contests or events open to the public".*

- Accordingly, the Division concluded that any items received by a public servant as a reward or on the basis of open competition from any source irrespective of the permissible threshold value of the item should not be considered as gift(s), and shall be allowed to retain with the recipient if s/he has declared to his/her agency.

Proposal:

- Propose the Hon'ble Chairperson to reconsider the decision of the gift(s) declared by Mr. Sonam Jamtsho of TSD, ACC.